European Business Services

AI for Business Services: From job fears to productivity on a plate


Sabrina Blanc
+33 1 42 13 47 32
sabrina.blanc@bernsteinsg.com


Will Kirkness
+44 20 7676 8355
will.kirkness@bernsteinsg.com


Filippo Giardini
+44 20 7762 4723
filippo.giardini@bernsteinsg.com

This is part of a series of reports on AI disruption. Business services and catering stocks have been hard hit by fears of significant job destruction. While we acknowledge the importance of the shift induced by AI, we are convinced that its impact will not necessarily be negative for the two sectors. A long-term decline in employment seems unlikely, in our view, as we see clear signs of these companies leveraging AI to increase productivity and efficiency. In this report, we address two key questions: i) What will these two industries look like when AI has been fully integrated? ii) How might estimates change to reflect the impact of AI?

Market sentiment has cooled recently on AI-exposed names, amid either white-collar job loss fears at catering or structurally lower barriers to entry for some business services names (EXPN, TEP, staffers). Some argue that job destruction could outpace job creation, particularly for white-collar workers, as AI automates an increasing share of cognitive tasks. This reinforces the view of AI as primarily a major economic disruptor in its own right, rather than merely an efficiency tailwind.

History suggests reallocation, not collapse. Past technological shocks (electrification, IT, the internet) resulted in reallocation of jobs and lifted employment over the long term, as noted by Adecco. Generative AI could accelerate the automation of certain white-collar tasks, and thus render some roles obsolete, but it is also likely to drive demand for new capabilities, such as development of AI systems to manage migration complexity, retrain users, re-implement integrations, and mitigate switching risks. Disrupted or supercharged? Mapping AI risks in Services and Software. McKinsey's 2030 scenario projects that c.30% of work hours will be automated across Europe and the US, reducing headcount in canteens and restaurants (non-cooking roles) and in back-offices, which are core exposures in the Business & Industry segment, while boosting demand in healthcare and STEM fields.

In European business services we differ from consensus opinions on key stocks: 1) for Experian (U), AI is a contributory factor to our lower medium term organic growth estimates, 2) likewise at TP (OP) we see lower organic growth vs medium term expectations as higher automated volumes = lower price, 3) for staffers, we are more optimistic than consensus, we think the incumbents are primed to deliver efficiencies from AI tooling and the nature of revenues - blue collar temp focused placements - are well-placed.

We estimate that for catering operators, AI-linked operational gains could ultimately offset most of the demand risk. We analyze the impact of AI as a means for catering companies to optimize processes, accelerate task automation and gain efficiencies across business models. For catering companies, we assume a maximum negative impact on revenue of around 1-2%, partially mitigated by additional cost efficiencies. This would imply that the sector will be disrupted but only to a limited extent.

Our top picks within the two sectors remains Compass (Outperform, PT $38.7) and Rentokil (Outperform, PT 576p).

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our Global Research Disclosure Website.
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BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	14 May 2026 Closing Price	Price Target	TTM Rel. Perf.	Cur	Adjusted EPS 2025A	Adjusted EPS 2026E	Adjusted EPS 2027E	Adjusted P/E (x) 2025A	Adjusted P/E (x) 2026E	Adjusted P/E (x) 2027E
SW.FP (Sodexo)	M	EUR	47.36	43.30	(29.7)%	EUR	5.58	3.04	4.22	8.5	15.6	11.2
CPG.LN (Compass)	O	USD	33.31	38.70	(13.9)%	USD	1.32	1.47	1.62	25.3	22.6	20.6
ELIOR.FP (Elior)	U	EUR	2.96	3.00	(4.4)%	EUR	0.43	0.33	0.39	6.9	9.0	7.5
ELIS.FP (Elis)	O	EUR	27.50	30.50	8.4%	EUR	1.85	2.15	2.20	14.8	12.8	12.5
ADEN.SW (Adecco)	O	EUR	15.25	26.00	(49.1)%	EUR	2.37	2.60	2.99	6.4	5.9	5.1
BNZL.LN (Bunzl)	O	GBp	2,350.00	2,750.00	(18.7)%	GBP	1.78	1.81	1.90	13.2	13.0	12.4
BVI.FP (Bureau Veritas)	O	EUR	26.56	34.00	(22.2)%	EUR	1.41	1.51	1.69	18.8	17.6	15.7
EXPN.LN (Experian)	U	GBp	2,564.00	2,850.00	(46.4)%	USD	1.56	1.75	1.91	22.1	19.6	17.9
RAND.NA (Randstad)	O	EUR	24.42	45.00	(49.0)%	EUR	2.29	2.51	2.61	10.7	9.7	9.4
ITRK.LN (Intertek)	M	GBp	5,675.00	6,000.00	2.3%	GBP	2.50	2.57	2.77	22.7	22.1	20.5
RTO.LN (Rentokil)	O	GBp	475.90	576.00	23.8%	USD	0.26	0.31	0.35	24.7	20.5	18.3
TEP.FP (Teleperformance)	O	EUR	66.54	140.00	(44.0)%	EUR	13.20	13.76	14.28	5.0	4.8	4.7
SGSN.SW (SGS)	O	CHF	84.68	103.00	(13.4)%	CHF	3.81	4.20	4.43	22.2	20.2	19.1
SUNB (Sunbelt Rentals)	O	USD	79.47	86.00	NA	USD	3.76	3.82	4.26	21.1	20.8	18.7
EDME			1,526.12									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

RAND.NA base year is 2024; ADEN.SW Price Target currency is in CHF

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

Our top picks within the two sectors remains Compass (Outperform, PT $38.7) and Rentokil (Outperform, PT 576p).

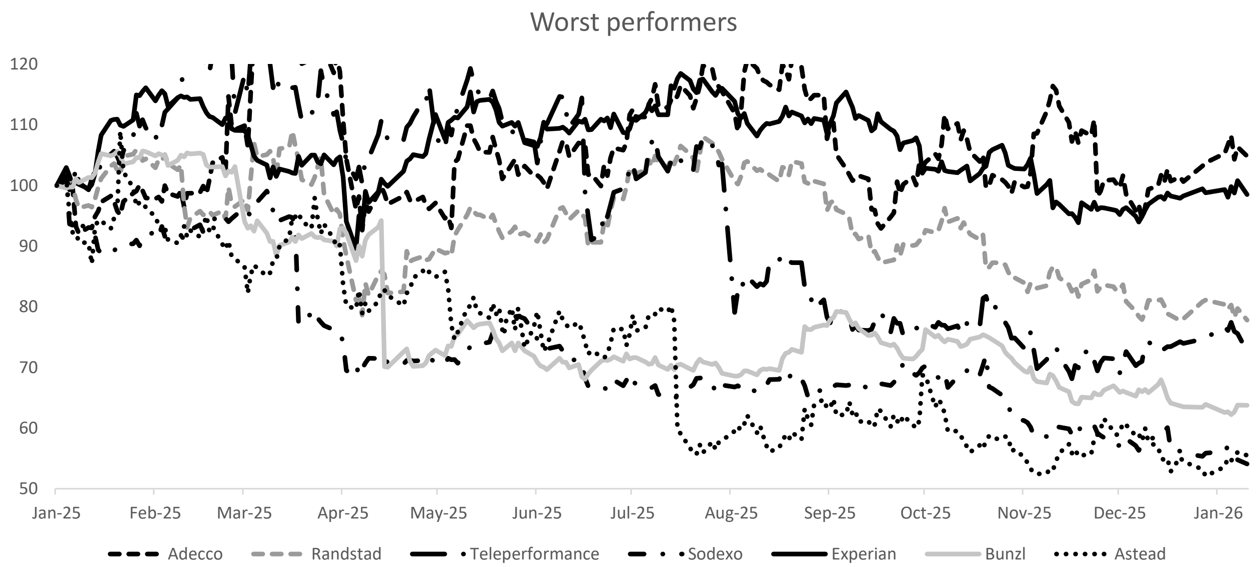
DETAILS

BUSINESS SERVICES SECTORS FACING THE AI ROLL-OUT

IS THE STOCK MARKET OVERREACTING TO THE RISKS OF AI?

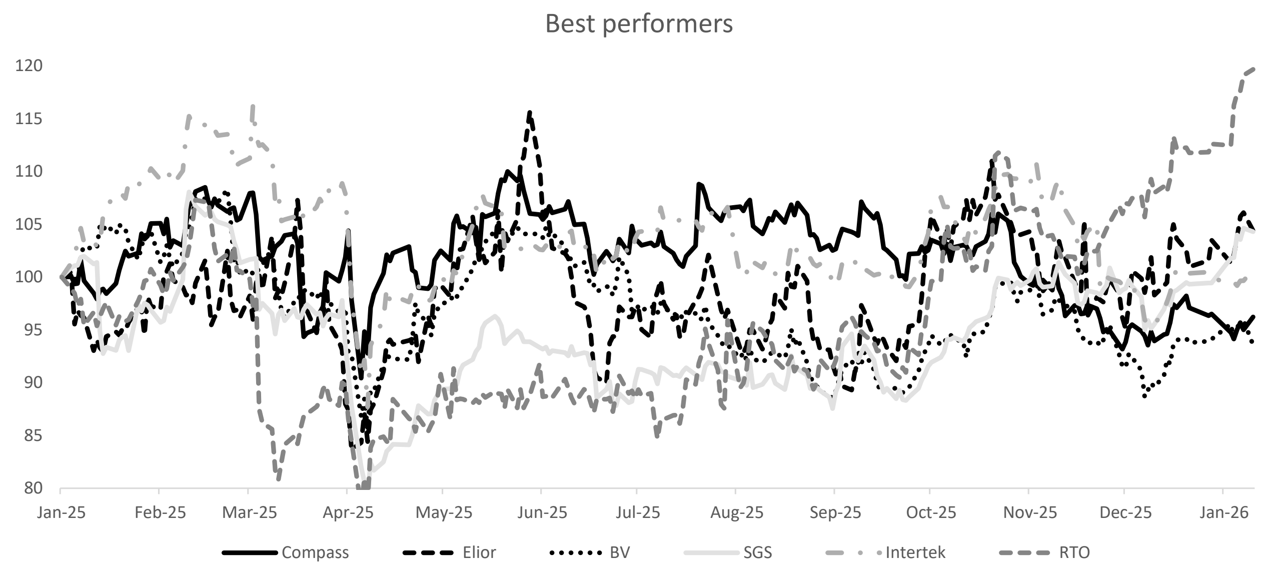
Over the past year and a half, market concerns have been building about the potential impact of AI on companies in the business services sector — whether firms involved in task automation or database management (Experian, Teleperformance) or in the temporary work segment (Adecco, Randstad), or more broadly suppliers to other businesses that could be affected — namely caterers (Compass, Sodexo, Elior). There have been fewer concerns raised with regard to TIC companies. Overall, the stock performance of business services stocks has been negative over the past 16 months: Teleperformance has lost 25%, while Adecco and Experian are down 20%. Even though there may be other factors that could explain this performance, particularly for Sodexo, Sunbelt and Bunzl, sentiment on the sector is clearly negative.

EXHIBIT 1: **Business services peers - Normalized performance LTM since 01/01/2025**



Source: Bloomberg, Bernstein analysis

EXHIBIT 2: **Business services peers - Normalized performance LTM since 01/01/2025**



Source: Bloomberg, Bernstein analysis

The business services sector offers disparate exposure to the rise of AI. A collection of stocks that are expected to have negative implications, albeit debated to varying degrees and stocks that offer a degree of immunity due to the physicality of the work. **Our central thesis is that AI is a force for productivity which changes the nature of work**, **changes the shape of markets and increases the speed that new products and services can be brought to market**. It doesn't necessarily change who owns the revenue streams but will have implications for mix, shape and pricing in markets. It will also create new markets.

Below is a table of stocks that assesses where we see impacts in order of concern:

EXHIBIT 3: **Summary - Magnitude of impact of AI on business services companies**

Company	BERN vs guidance	Employees
Teleperformance	We assume a medium term growth framework below guidance	446,716
Experian	Growth expectations below consensus driven by harder fought TAM	23,297
Randstad	Broad and global blue collar temp exposure favoured	38,000
Adecco	Broad and global blue collar temp exposure favoured	34,000
Elior		132,783
Sodexo	White collar accounts for a limited amount of revenues compared to activities	426,000
Compass	not affected while AI could benefit to global productivity	590,000
Bureau Veritas	AI enhances demand for some segments and grows new markets, albeit	82,000
SGS	unlikely to be material and allows for opex efficiences. See inspecion activities	100,000
Intertek	as modestly more impacted than testing.	45,425
Bunzl		27,000
Rentokil	Limited impact	68,500
Elis		58,445
Sunbelt		25,940

Source: Bernstein analysis, Bloomberg, Company data

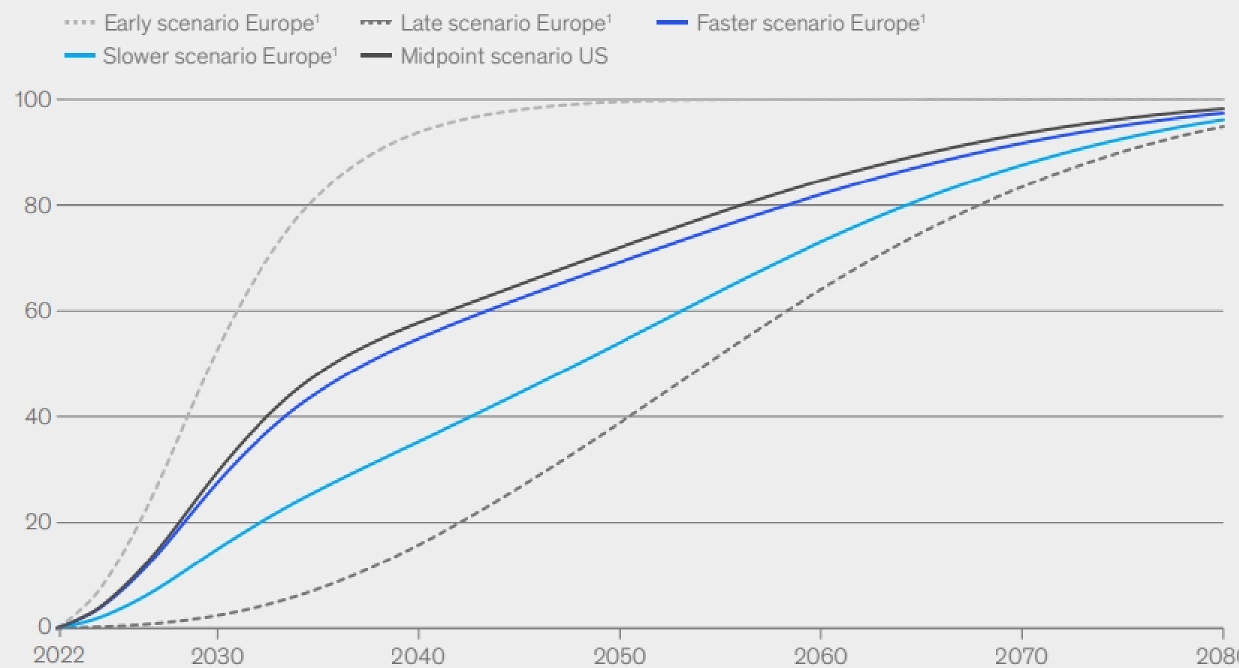
AREEMPLOYMENT LEVELS DETERIORATING?

Markets have turned more cautious on AI-exposed names in recent months, as sentiment has shifted from pure optimism on productivity gains to concerns about the broader economic and labor-market impacts. Consequently, companies for which demand is correlated to labor-market dynamics have seen their market valuations suffer, reflecting this rising caution.

McKinsey's 2030 midpoint scenario points to roughly 30% of hours worked being automated by generative AI in Europe and the US, driving significant occupational shifts. Labor demand is expected to tilt towards higher-wage roles in healthcare and STEM (Science, Technology, Engineering, and Mathematics). At the same time, roles in food services (cashiers), sales, customer service, office support and production, which already declined over 2012-22, are set to shrink.

EXHIBIT 4: **Automation of current work tasks with development of Gen-AI**

Automation of current work activities, % of working hours modeled to be automated, with generative AI acceleration, Europe[1] and the US, 2022–80



Note: The range of scenarios represents uncertainty regarding the availability of technical capabilities, based on interviews with experts and survey responses. The early scenario makes more-aggressive assumptions for all key model parameters (technical potential, integration timeline, economic feasibility, and regulatory and public adoption). The "faster" or midpoint adoption scenario is the average between the early and late scenarios. The "slower" scenario is the average between the late scenario and the midpoint scenario.
[1]Includes Czech Republic, Denmark, France, Germany, Italy, Netherlands, Poland, Spain, Sweden, and United Kingdom.
Source: Eurostat; Occupational Information Network; Oxford Economics; US Bureau of Labor Statistics; national statistical agencies of the European countries considered; McKinsey Global Institute analysis

Source: Adecco

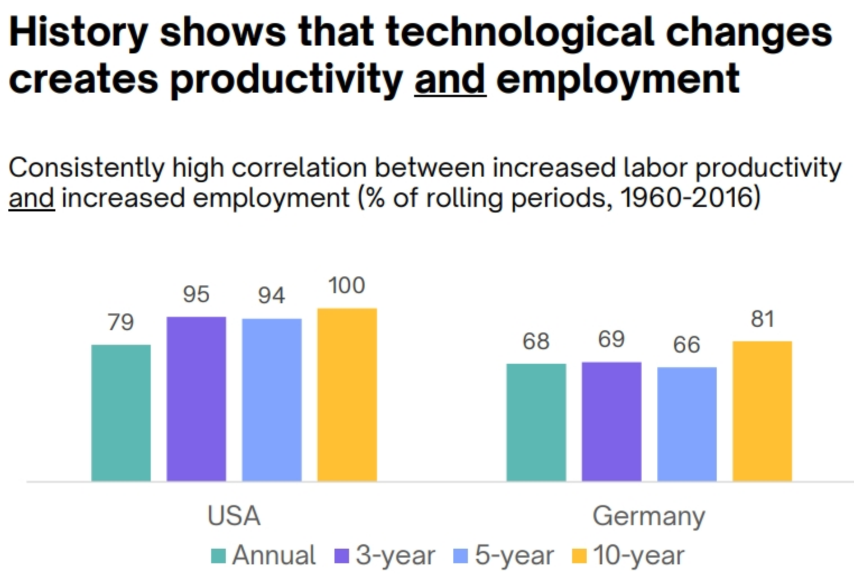
EVIDENCE AND ANALYSIS INVITES GREATER NUANCE

At the same time, the most extreme "AI kills more jobs than it creates" narrative seems debatable. Historically, major productivity shocks (electrification, IT, the internet) have tended to result in job reallocation rather than job elimination with higher productivity ultimately supporting growth and employment.

Economists James Feigenbaum and Daniel P. Gross noted in their studies relative to the transformation of telephone operator jobs in France in the 1920s to 1940s that automation is not necessarily synonymous with job destruction. Rather, they show that demand for similar-quality jobs grew to offset the lost employment. A similar dynamic of increased productivity leading to greater labor demand could play out with generative AI. McKinsey's estimates suggest that it could add 0.5-0.9 percentage points to annual US labor-productivity growth out to 2030, with broader automation potentially lifting the rate to 3-4%.

Overall, we think that generative and agentic AI should be seen primarily as a particularly effective tool for accelerating routine processes and automating tasks, with white-collar jobs being the first at risk. We expect a net shift from "automation-prone" roles to "augmentation-prone" roles, rather than a simple collapse in employment.

EXHIBIT 5: **Positive correlation between productivity and employment**



Source: Adecco, Bernstein analysis

We view our coverage as helpful because it includes staffers, who have half a million temps working globally, data companies, service companies and very large employers more broadly. From that coverage we have a number of helpful data points:

- Adecco's career transition business (which is the global leader) found 1.4% of layoffs because of AI while 12% found AI had some impact. There is a sense within the 12% however, that adding AI as a reason for a layoff enhances the companies view with other stake holders but may have been a minimal component of the decision.

- Adecco's CMD highlighted that there is a high correlation between periods of increased labour productivity and increased employment. In the US the correlation is c.80% on an annual view and 100% on a ten-year view.

- Randstad see AI driving job losses of 6-7% over the next 5-10 years with a focus on clerical, customer service, marketing and software. Of the current jobs they fill, 60-70% did not exist when RAND was founded 65 years ago.

AI COULD GENERATE HALF A BILLION JOBS BY 2033

AI development and implementation is also likely to require additional jobs, particularly to develop AI systems to manage migration complexity, retrain users, re-implement integrations, and mitigate switching risks. Bernstein report: Disrupted or supercharged? Mapping AI risks in Services and Software. A Gartner report estimates that automation software will generate half a billion jobs by 2033. In Exhibit 7 we provide a list of potential jobs linked to AI that could be created. We note, in particular, that some of the large software companies are set to increase their AI talent; for example Accenture has already announced that it aims to virtually double hiring dedicated to AI (to 80,000 engineers from 50,000).

Compass is a further example. It grew its business with tech clients by 14% in 1Q26, which contributed c.1 point of group growth both across net-new business and volume like-for-like. According to Compass' management, there are plans for roughly 6,000 data centers in the US by 2030, either through new construction or the scaling up of existing facilities. When these facilities reach scale, Compass sees an opportunity of around $4m to $5m per data center at project launch, before a return to more normal levels during the maintenance phase.

EXHIBIT 6: **Compass realease -1Q26 - Dominic Blakemore**

Dominic Blakemore, CEO of Compass:

" After spending three weeks meeting with around 40 current and prospective clients, one message came through loud and clear. AI is driving significant improvements in efficiency, productivity, and growth, but capturing the opportunity requires new skills and evolving roles across organizations".

1Q26 - Compass release

Source: Compass, Bloomberg

EXHIBIT 7: **Example of job creation linked to AI**

Job title	Role
AI Trainer	Corrects, annotates and curates data used to train AI models
Data Labeler / Data Annotator	Labels images, text, audio, etc. to build high-quality training datasets
Prompt Engineer	Designs and optimizes prompts to get reliable outputs from AI models
AI Experience Designer	Defines how AI is integrated into products and user journeys
AI Ethics & Risk Specialist	Manages bias, compliance, and regulatory risks related to AI systems
MLOps Engineer	Deploys, monitors, and maintains AI/ML models in production
AI Product Manager	Sets strategy and roadmap for products that embed AI capabilities
AI Transformation Consultant	Helps companies redesign processes and jobs around AI tools
Conversational Agent Persona Designer	Creates the tone, personality, and boundaries of chatbots and AI agents

Source: PWC, lemondeinformatique

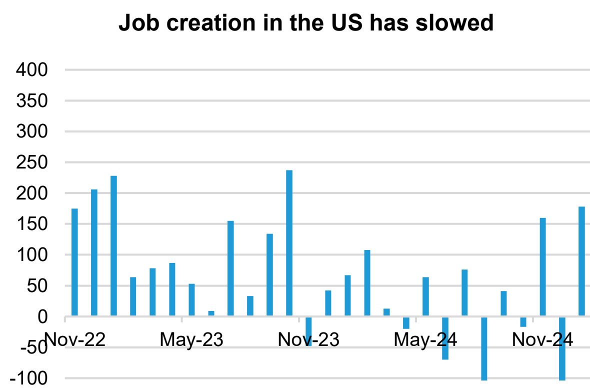
THE NON AFFECTED ONES

We also cover a number of stocks, namely Elis or Rentokil, where there is high a degree of physical action to the revenues and unless we are to consider robotics + AI, then risks of disruption appear much more long-dated.

CROSS-CHECKING THE DATA

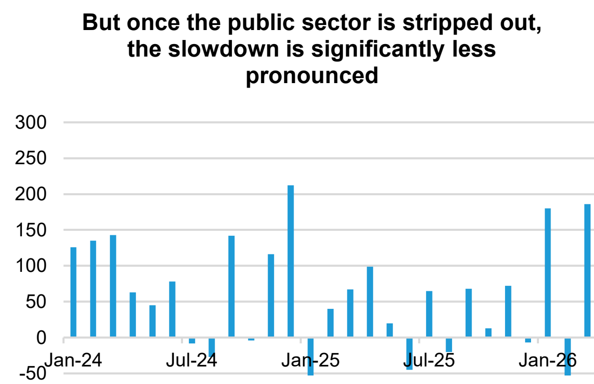
It has been nearly 42 months since the launch of generative AI systems such as ChatGPT, so we are now starting to get some visibility on the potential impacts in terms of job creation or destruction. According to recent data, in February 2026, the US economy lost about 133,000 jobs, but created about 178,000 in March. Overall, the US labor market slowed in 2025. This could be attributable to various factors: i) slower labor force growth due to demographics and weaker immigration; ii) economic and political uncertainty (tariffs, immigration rules) leading to greater caution on hiring; iii) the slowdown in US employment after the huge post-Covid catch-up; or iv) growth being absorbed through productivity gains (including automation/AI).

EXHIBIT 8: **US employees on Nonfarm Payrolls Total MoM Net Change**



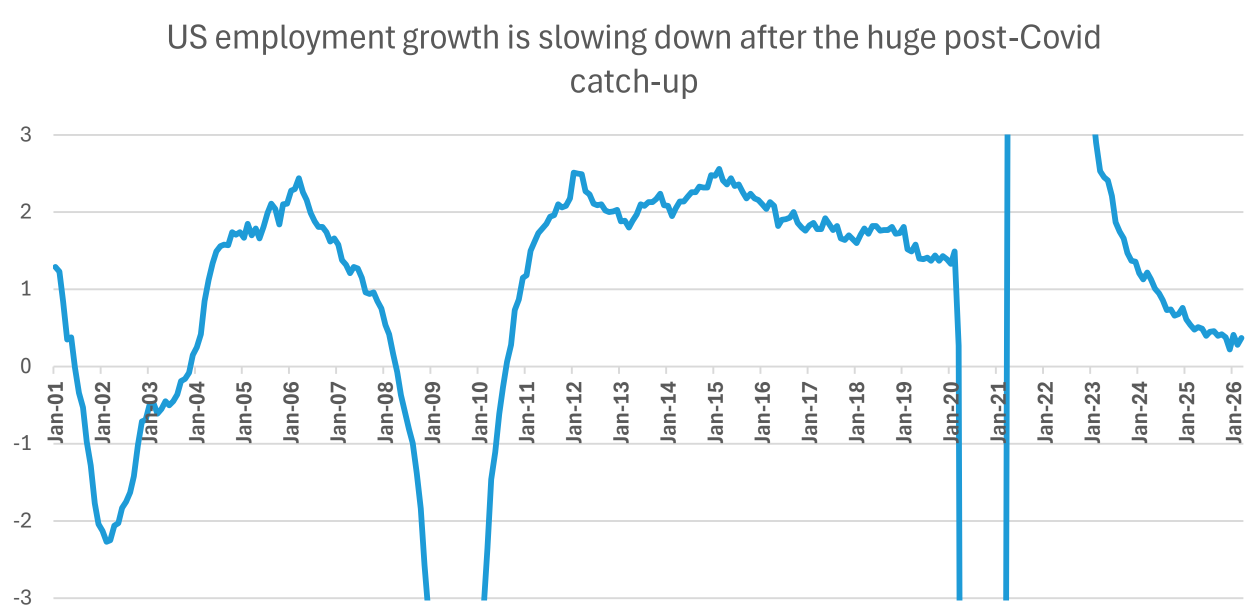
Source: US Bureau of Labor Statistics, Bernstein analysis

EXHIBIT 9: **US employees on Nonfarm Payrolls Total Private MoM Net Change**



Source: US Bureau of Labor Statistics, Bernstein analysis

EXHIBIT 10: **US employees on Nonfarm Payrolls Total Private MoM Change**



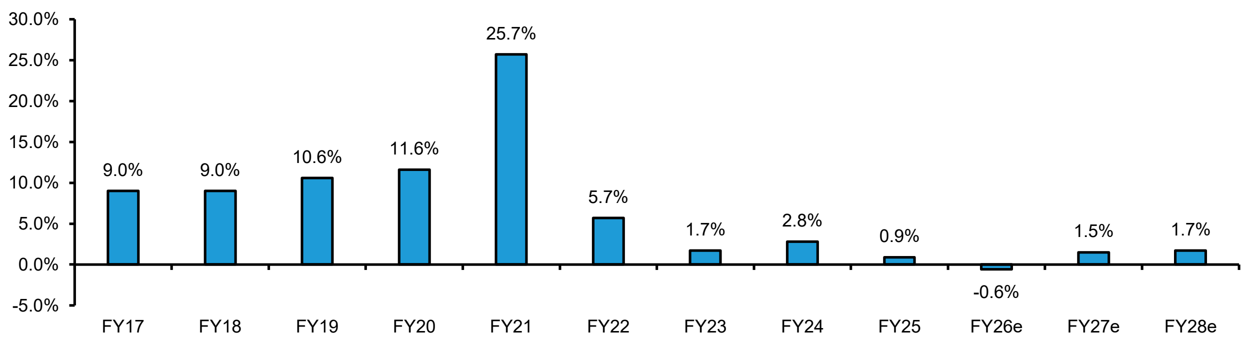
Source: US Bureau of Labor Statistics, Bernstein analysis

DATA OR LABOUR-INTENSIVE BUSINESS SERVICES, UNDER MOST SCRUTINY

TELEPERFORMANCE - A LOWER MEDIUM TERM GROWTH RATE

We see Teleperformance as having the highest degree of risk associated with AI as some of the more basic end of interactions around customer services and translation lend themselves more easily to automation. As a user rather than developer of technology, it doesn't mean that TP won't still 'own' the transaction, but the method of delivery will change and become more efficient. This has potentially negative implications for volumes if clients believe they can in-house it and negative implications for values as cost savings are shared with clients and/or new entrants force new pricing dynamics. This means our central case for growth at TP is lower than company guidance.

EXHIBIT 11: **TP group organic growth**



Source: Company data, Bernstein estimates and analysis

THE PACE OF ADOPTION

Since 2010, digital transactions have increased at 6% per annum while human-to-human interactions have increased at 2%. Across various market sources we estimate that 20-50% of current volumes could be automated the next few years, offset by underlying growth and share gains. How this flows through depends on the complexity of the exact transaction and the industry. Customers of TP are a broad mix but we consider the split of customer industries that are more complex and perhaps more risk-adverse are at around 50/50 vs potentially more straightforward industries

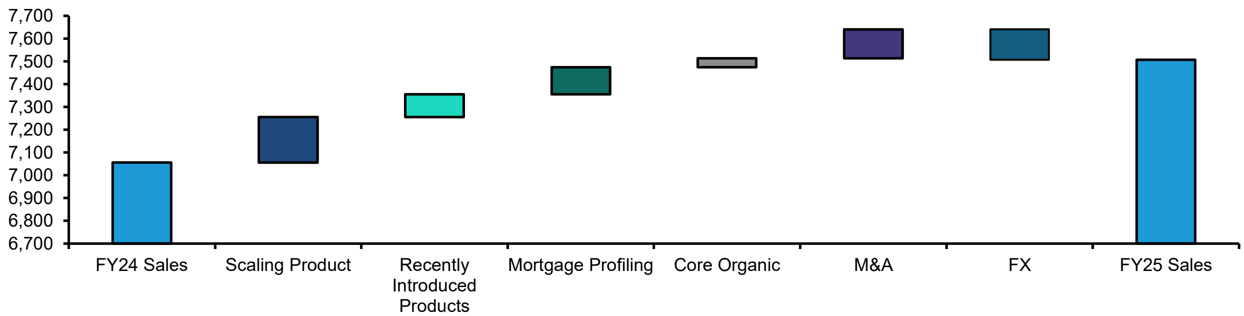
IS THE SPECIAL SAUCE, SPECIAL ENOUGH?

As the industry continues to evolve, legacy players need to be able to make their case for market share. We look at this through two perspectives, firstly the special sauce that TP provide to keep them relevant and secondly the likely desires and actions of competitors. Where we see the distinct advantages and USPs for TP is around their role using (not building) tech to manage client ecosystems in terms of people and process. TP have entrenched relationships and a global footprint as well as 30+ years of track record. We do not anticipate that technology firms would want to move down the complexity curve into higher headcount lower margin activities.

EXPERIAN - AI DISRUPTION IN THE CORE?

Experian drives the highest level of AI debate in the space, although the intensity of the incoming moderated into 2Q. Our central case for Experian is that the current envelope of revenues is relatively well protected but we see more debate around competition within the TAM and future growth drivers. This could have negative implications for future growth, which is the central pillar of our Underperform thesis, that consensus expectations of 8-9% over the medium term are too high. From our perspective this was independent of AI, it was driven by the increasingly overlapping with driver as well as the laws of large numbers. To believe in consensus organic growth expectations, we need to believe that Experian can accelerate revenues from scaling and recently introduced products which accounted for c4% of the 7% organic growth in FY25:

EXHIBIT 12: **The building blocks of Experian's FY25 organic revenue growth**



Source: Company data, Bernstein analysis and estimates

GROWTH FROM NEW TAMS

As we think about the current envelope of revenues and future growth drivers, we envisage three scenarios:

There is limited to no impact. AI allows the group to develop new products and services faster. The group cannot invent everything but is able to partner and/or acquire companies that have innovate and different solutions. We already see this to some degree in credit scores (albeit non AI driven) like Plaid with real time cash flow analytics. Square have talked about their alternative credit scores but are looking for a distribution partner. New more AI driven themes in fraud, analytics, insurance etc could be future partners or acquisitions. In this scenario, depending on how innovative Experian can continue to be, acquired growth could become a slightly larger weighting than currently.

Impact in limited segments but future growth is compromised by new entrants which weighs on volumes and/or values. This would be more aligned to our base case view, where there be some risk of new entrants in fraud or healthcare but the revenue exposure is likely lower than 10-15%. We see more risk that the $150bn TAM identified by Experian starts to attract new competition which lowers volumes and/or values.

Structurally lower barriers to entry across the group. In this more concerning scenario, AI developments allow new entrants or new products from competitors to challenge the main moat. The unique and proprietary nature of the data is created because of the wide range of data sources, with a lot of history and frequent updates. The majority of Experian's data that feeds the B2B and in turn the B2C business is driven by data feeds from a wide range of financial and other institutions. These are updated frequently, we estimate Experian has 1bn of monthly feed updates a month. We estimate that 80-90% of revenues are covered by data that comes from these sources, i.e they are to a large degree unique and proprietary. Or are they? Bears are concerned that with time and money this data set is replicable, although we would see three main requirements for this to be the case. Any competitor would have to:

1. Replicate every relationship with data providers and receive monthly updates. This data would also need to go back 6 years to be of good use although going back 10-11 could help with statistical and profiling analysis.

2. Create relationships with regulators who agree that data can be obtained, stored and used. For example, in the UK this is the FCA and in the US the CFPB (amongst others)

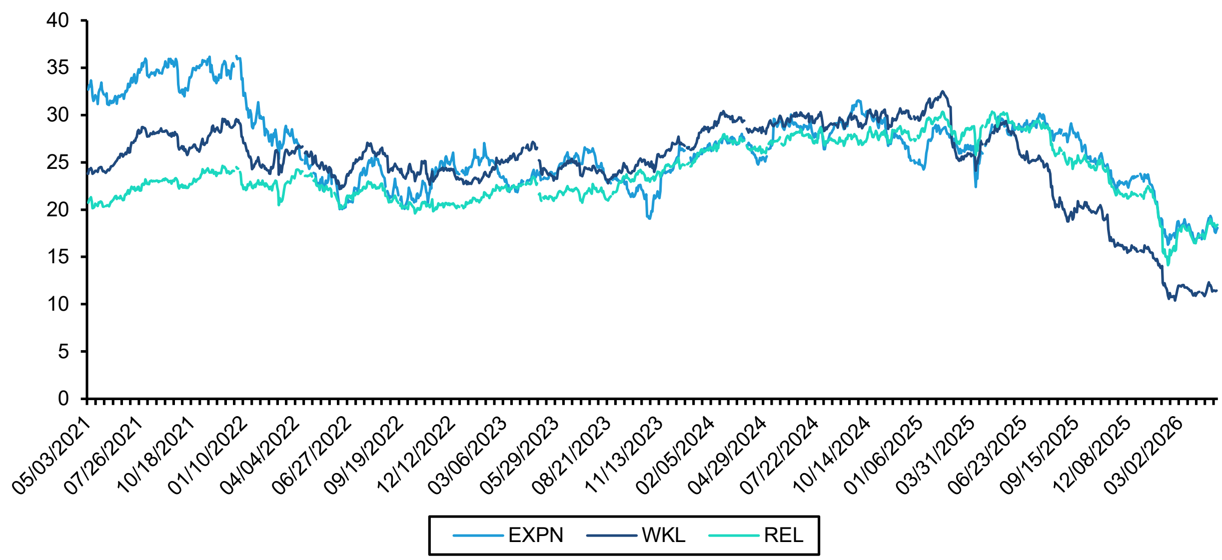
3. Prove to potential customers that the data is useful, that it can help that drive revenues and/or reduce credit losses

As such, while in theory barriers to entry in the core business may appear at risk of being reduced, we think the reality is much more complicated and the practical reality is that barriers to entry remain high.

The other factor we consider here is customer motivation. We do not consider Experian's customer as making quick decisions or having the motivation to disrupt their current data and decisioning provider because:

- Risk of failure is high. A client switching providers or models runs the risk of new parameters increasing credit losses. As such customers tend to be slow moving.
- Cost is relatively low. Experian are a slither of their customers costs, a combination of low cost and high risk of failure results in lower motivation to change.
- Customers are numerous and diverse. The annual report states that no one customer is over 10% of revenues but in reality we think that few are more than 1%.

EXHIBIT 13: **Forward PE - Experian, Wolters and Relx**



Source: Bloomberg

WHERE IS THE RISK IN NEW PRODUCTS?

Bureaus are undoubtedly experiencing a more noisy time and competitive threats appear to be increasing, especially in core secured credit decisions. Our Underperform was predicted on concerns that growth would slow because growth drivers are increasingly overlapping with existing peers, namely in areas like income and employment verification, real time credit scores, Brazil and Consumer. When we consider growth drivers where AI could weigh on market value we consider the following

Insourcing. Clients could decide to build and govern models using their own data via natural language, auto-documentation and synthetic data.

Alternative data scoring. While we see these as largely complimentary and additive to traditional credit scores, alternative data sets and open banking could prove useful enough that traditional credit scoring loses its value.

Insurance. A number of developments could have a detrimental impact here: 1) AI assistants could disintermediate by running these tasks for consumers. 2) Alternative aggregators will find it easier to create insurance marketplaces, even if they lack Experian's asset or expertise.

Health. We see risk of margin pressure and commoditization of revenue cycle management services, insourcing or other data providers competing down the TAM.

Fraud. Much of that stack here (document forensics, device intelligence, behavioral biometrics, transaction monitoring) is contestable, because specialized AI vendors can train models on consortium or client data without needing core credit files; Experian then has to win on scale, integration and distribution rather than on a unique algorithm.

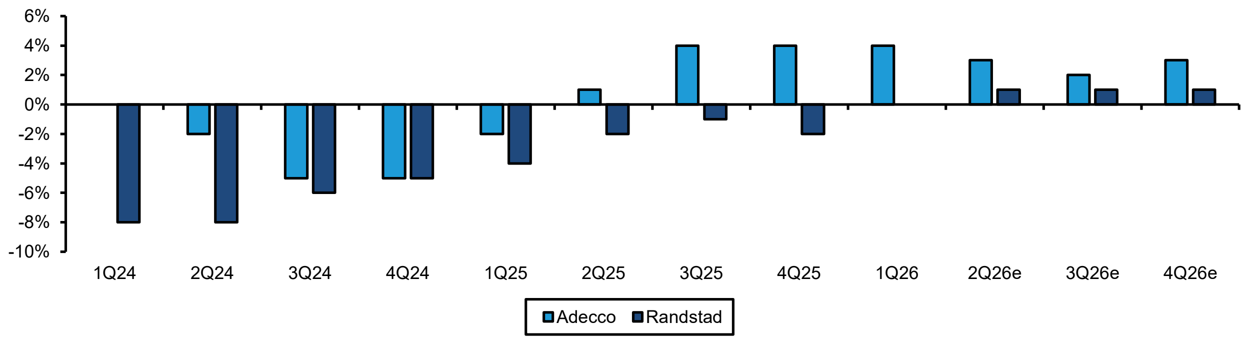
STAFFERS - A DUAL PRONGED AI ATTACK

Staffers have found themselves facing both barrels of AI concerns:

1. That there will be less jobs in general which will have negative implications for companies that place workers, either on a temporary or permanent basis
2. Digital and AI platforms will disintermediate the staffers

On the first point we take a different viewpoint. As AI has matured organic growth at Adecco and Randstad has accelerated.

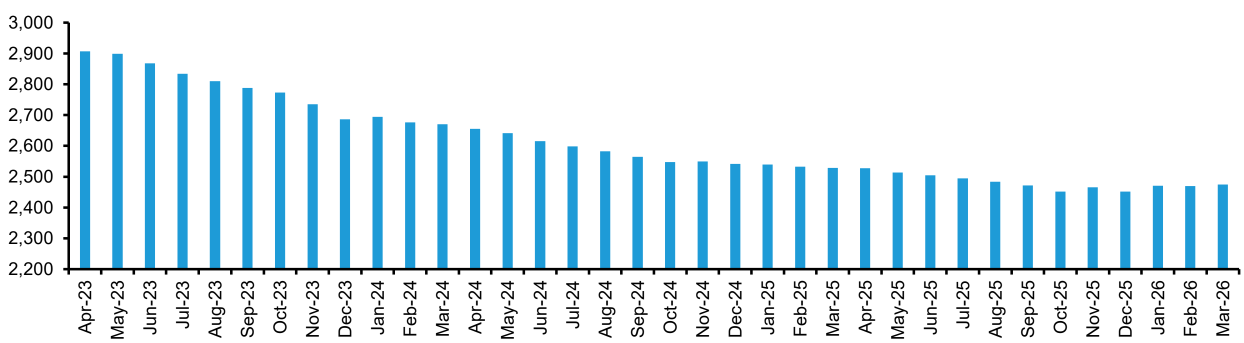
EXHIBIT 14: **Adecco and Randstad group organic growth**



Source: Company data, Bernstein estimates and analysis, Visible Alpha

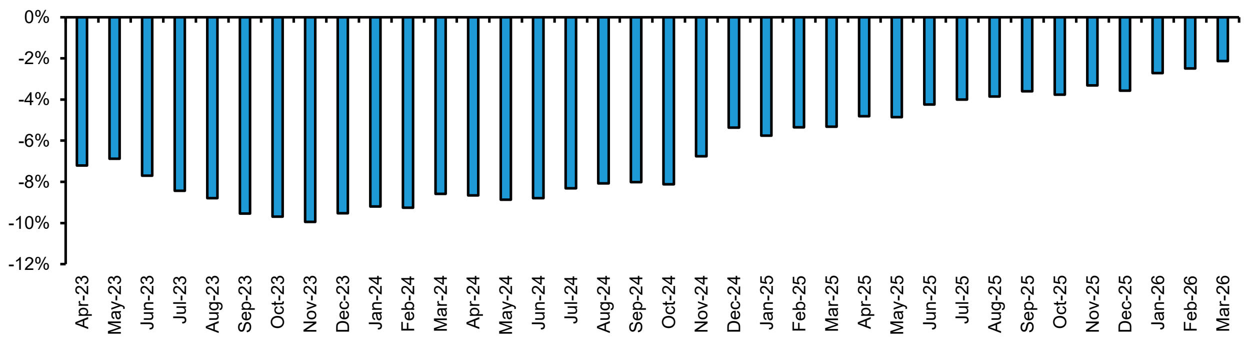
Market data, such as number of temps on the US non-farm payroll has stabilised

EXHIBIT 15: **Absolue number of temps on US non-farm payrolls, seasonally adjusted ('000)**



Source: Bloomberg

EXHIBIT 16: **YOY change in temp workers on non-farm payroll (seasonally adjusted)**

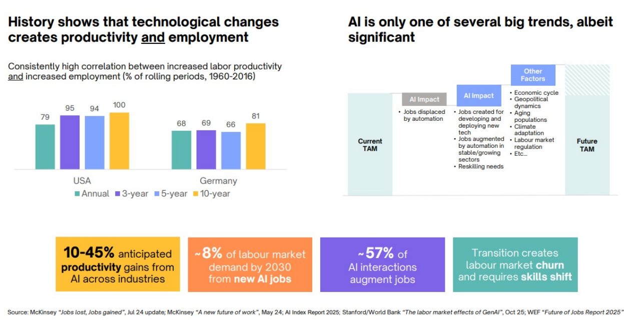


Source: Bloomberg

Adecco's career transition business (which is the global leader) found 1.4% of layoffs because of AI while 12% found AI had some impact. There is a sense within the 12% however, that adding AI as a reason for a layoff enhances the companies view with other stake holders but may have been a minimal component of the decision.

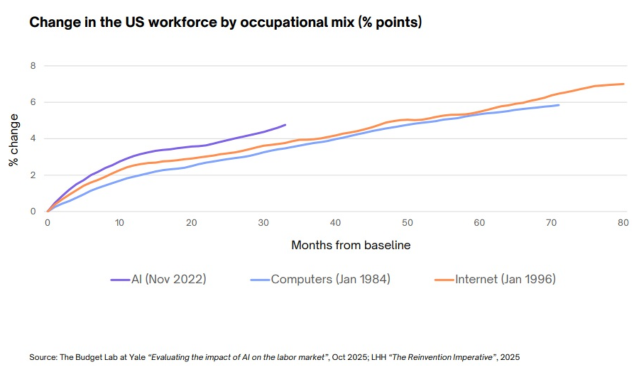
Adecco's CMD highlighted that there is a high correlation between periods of increased labour productivity and increased employment. In the US the correlation is c80% on an annual view and 100% on a ten-year view.

EXHIBIT 17: **Labor market productivity and increases employment have 90%+ correlation in the US on a 3+ year view**



Source: Adecco CMD 2025

EXHIBIT 18: **Change in US workforce occupational mix is only slightly faster than previous big tech leaps**

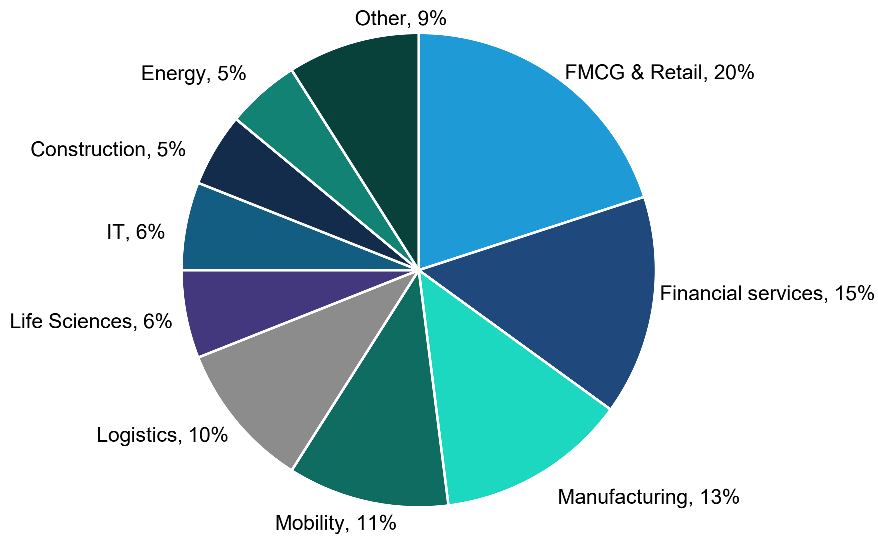


Source: Adecco CMD 2025

Randstad see AI driving job losses of 6-7% over the next 5-10 years with a focus on clerical, customer service, marketing and software. Of the current jobs they fill, 60-70% did not exist when RAND was founded 65 years ago.

On the second point, we see Adecco and Randstad's exposure to skilled and unskilled blue collar temp as advantageous. As well as matching job specs with talent, they are also involved in with on-boarding, training, HR and ensuring workers turn up, amongst other activities. Randstad have 15% of their business flowing through digital now and at the end of the year expect it to be around 20%. We see the incumbents as better placed to win as they have scope to invest and have the customer and candidate relationships.

EXHIBIT 19: **Adecco GBU client industry (FY25)**



Source: Company data

TESTING AND INSPECTION

We do not think that AI will have a material impact on the testing stocks within the medium term. We consider the peripheral impacts in three areas:

1. Driving growth in certain existing verticals
2. Driving new growth
3. Driving efficiencies in internal processes

GROWTH IN EXISTING VERTICALS

EXHIBIT 20: **Industry demand from AI**

Layer	Industry
Compute & chips	GPU/accelerator vendors, advanced logic foundries, HBM, optical networking
Data centers	Hyperscale & colo operators, DC construction, racks, PDUs, UPS, generators
Power & grid	Transformers, switchgear, T&D equipment, utilities, renewables, storage
Cooling & efficiency	Liquid cooling, HVAC, industrial energy saving equipment, thermal components
Software & services	Cloud AI platforms, enterprise software, cybersecurity

Source: Bernstein analysis

Bureau Veritas has more exposure to the physical infrastructure side of things in their B&I division while SGS specifically targets digital trust as a growth driver in Strategy 27.

NEW GROWTH

AI is developing at pace in a largely unregulated environment. We do see some strategies:

In the EU the AI Act is the first comprehensive binding law, sitting alongside GDPR, product safety rules, and sectoral rules (e.g., medical devices, financial services). Fines can reach up to 7% of global turnover, so it becomes the de facto global standard for companies selling into Europe.

In the US there is an evolving mix of federal guidance, an AI focused Executive Order, and a patchwork of state laws. Recent federal action has pivoted toward national security and competitiveness, with Executive Order 14179 reorienting policy away from stricter “trust and safety” obligations and more toward enabling innovation and strategic dominance.

The UK is pursuing “pro-innovation” model with no single AI Act; instead, sector regulators (FCA, ICO, CMA, etc) apply AI principles in their domains, with a dedicated AI regulation bill emerging mainly for frontier developers.

China has several binding, AI-specific regulations (recommendation algorithms, “deep synthesis”/deepfakes, generative AI services), focused on content controls, labeling AI-generated content, security reviews, and centralized state oversight.

EXHIBIT 21: **Potential future regulatory needs**

Theme	Likely Regulatory Measures	Typical Targets
Safety and robustness of models	Requirements for safety testing, evaluation against benchmarks, and serious incident reporting.	High risk sectors and models
Model registration and reporting	Obligations to register or notify regulators about high impact models, including capability summaries and safeguards.	Frontier model providers, large GPAI developers.
Transparency and content labeling	Mandatory labeling or watermarking of AI generated content to address deepfakes and disinformation.	Generative image, video, and text systems, social platforms.
System disclosure and explainability	Duties to tell users when AI is used and provide explanations for certain automated decisions.	Consumer facing systems, HR, finance, public sector decisions.
Bias, discrimination, fairness	Bias assessments, requirements for representative data, and recurring audits of algorithmic performance.	Hiring tools, credit scoring, insurance pricing, policing tools.
Impact and risk assessments	Algorithmic impact assessments / AI risk assessments prior to deployment in sensitive domains.	HR tech, public services, healthcare, education, welfare decisions.
Privacy and data protection	Tighter application of existing privacy laws to AI training and inference, limits on sensitive data use.	Any model trained on personal or sensitive data.
Training data and copyright / IP	Clarification of lawful training on copyrighted works, optouts, and rules around infringement.	Foundation model training, content platforms, creative industries.
Security and model protection	Requirements for safeguarding models and data against theft, prompt injection, and adversarial attacks.	Providers and deployers of critical AI systems.
Misuse and dual use controls	Obligations to mitigate misuse (cyber attacks, bio/chem risks) via access control, monitoring, and safety rails.	high risk applications
National security related controls	Export controls on advanced chips and models, foreign investment screening for AI infrastructure.	Chip and model exporters, hyperscalers, critical AI projects.
Liability and accountability	Clearer rules on who is responsible when AI causes harm, plus human in the loop requirements for key decisions.	Product manufacturers, AI developers and deployers

Source: Bernstein analysis

EFFICIENCIES AND PRODUCTIVITY GAINS

We see TIC firms having a good degree of protection from disintermediation by pure digital platform as on the testing side a physical global network of labs is required, combined with a workforce to move samples through labs, set up labs and interpret results. On the inspection side a global base of auditors to visit infrastructure and set up inspection protocols. Within this framework of tasks, however, there is scope for adding AI process to enhance efficiencies:

- Automated visual or NDT testing
- Robotics + AI analytics (drones/robots etc)
- Lab test enhancements. Using AI to o infer mineralogical composition and physical properties and using multiple predictive inferences
- Automated document review
- Report drafting and summarisation
- Maintenance of audit records
- Predicitive and risk based services. Predictive maintenance and condition monitoring and continuous compliance monitoring

While it may be more challenging to argue for sustained margin accretion, we don't see any reason why there should be margin compression. While tasks may be quicker, clients are getting a better service, and turn around times should improve which is generally an important KPI. As such better service should lead to happy clients and certainly sustained payments. If the testing industry can use any time saved in additional revenue generating activities there may be scope for margin improvement.

CATERING

We do not think that AI will have a material impact on catering stocks over the medium term. We would highlight that the contract catering industry has historically been very resilient. More specifically, Compass' revenues have consistently grown 2-3x faster than GDP or employment, and to a lesser extent this has also been true for Sodexo with the exception of the COVID-19 period. Around 80% of all group business (across healthcare, education, sports and blue-collar industry) is at little risk from AI.

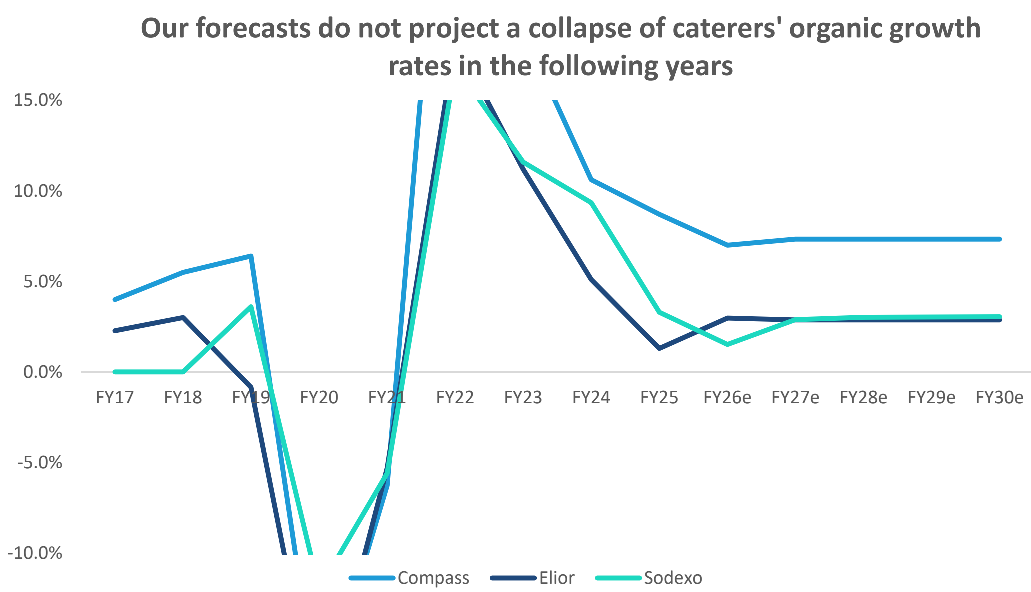
WHAT COULD BE THE IMPACT ON CATERING FIRMS? EXPOSURE TO WHITE-COLLAR WORKERS IS LIMITED

We assess the overall impact of AI on catering companies, both in terms of the top line and bottom line. On the top line, we look at how AI-driven changes may affect demand volume for business services in a period of a destabilized employment market. On the bottom line, we consider the scope for potential productivity gains at catering companies through the use of AI technology.

Around80% of groups' revenues are at little risk from AI

We believe that the shift in the employment landscape will not materially impact catering firms in the long run, and could even be marginally positive as we do not expect drastic reductions in the level of employment. At present, our forecasts are supported by continuing positive trends in terms of outsourcing, while volumes remain marginally positive and inflation steadily growing; although this might evolve due to the Iran conflict and the pressure on oil price. In particular, our estimates capture company-specific situations — for example those of Sodexo and Elior, companies that have not yet regained adequate retention levels in the industry.

EXHIBIT 22: **Organic growth rates; FY17 - FY30e**



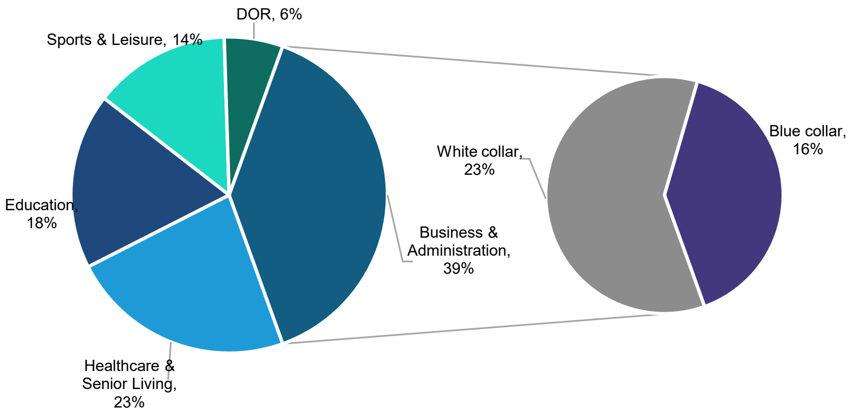
Source: Company reports, Bernstein analysis and estimates

What could happen to the remaining 20% at risk (white-collar workers)

Compass and Sodexo generate c.40% of their revenues from Business & Industry (B&I), of which half from white-collar workers, who might be affected by AI. B&I (white- and blue-collar functions) continues to be one of the fastest-growing sectors for Compass, both globally and in North America, supported by strong net-new business and positive volume trends. This is particularly true for Compass. Over the last 4 to 5 years, its contract signings were healthy with over half of the new wins coming from first-time outsourcing. This was driven in part by the continued expansion in the tech sector, where the group has a very strong presence, with revenues growing in double-digits (14% in 1Q26).

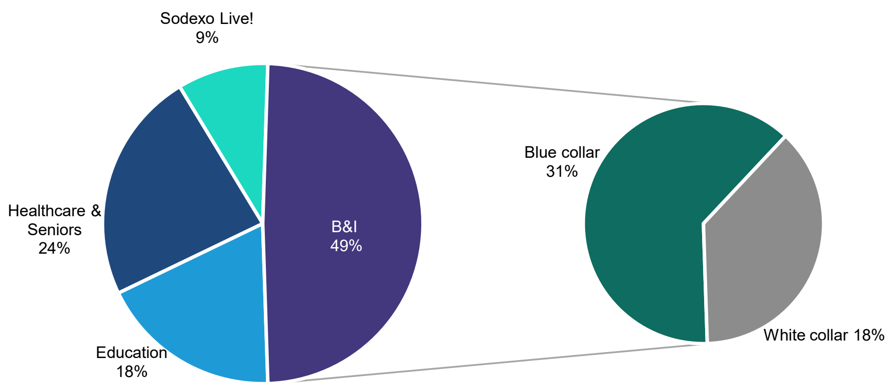
The 20% of the portfolio relating to white-collar B&I spans tech, professional, and financial services. At Compass, over one-third of this is related to tech, where the group is benefiting from one of the largest-ever infrastructure build-outs. Elior seems less exposed to white-collar workers (c.10% of group revenues).

EXHIBIT 23: **Compass- Revenue breakdown by segment**



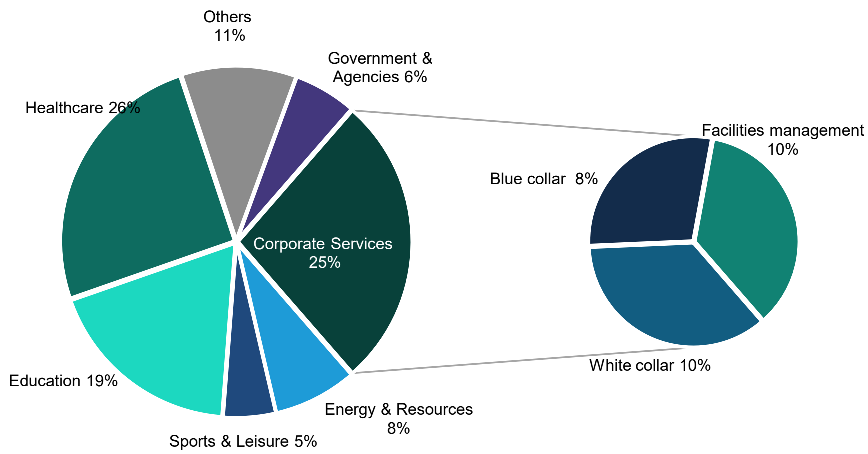
Source: Company, Bernstein analysis

EXHIBIT 24: **Sodexo - Revenue breakdown by segment**



Source: Company reports, Bernstein analysis

EXHIBIT 25: **Elior - Revenue breakdown by segment**



Source: Company reports, Bernstein analysis

Our scenarios point to a 1% to 2% revenue impact

Increased automation might still jeopardize the existence of some jobs in caterers' B&I end-markets. Because AI is particularly effective at automating repetitive tasks, data collection and basic processing, white-collar functions appear most exposed. Thus, we expect the degree of the impact to be correlated to the size of the share of revenues derived from white-collar workers in the B&I or corporate services segments by the companies we cover.

On that basis, we have built three scenarios to project the potential impact of the development of AI on the revenues of the catering companies under our coverage. These scenarios all reflect the same pessimistic view, according to which the progress in AI adoption will be detrimental overall to the level of employment. As a matter of reference, Compass stated during its 1Q26 release that it believes entry-level roles – which are, in its view, the categories currently seen as most exposed – represent no more than 10-15% of its c.13% exposure to white-collar functions in professional services, financial services and B&I. On that basis, even if around half of those roles were ultimately at risk over the next few years, the impact would equate to only about 1-1.5% of the overall base. We therefore expect the effect to be very limited and manageable.

These assumptions are broadly consistent with those we adopted in the post-Covid-19 period, reflecting the extension of working from home and its impact on sector companies' revenues.

EXHIBIT 26: **Bull case: 5% of white collar jobs are suppressed and no additional jobs are created**

Company	FY28e Revenue, €m	FY28e EBIT, €m	% WC* B&I in revenue	% WC jobs suppressed	*Lost business implied %*	Effect on FY28e Revenue, €m	Effect on FY28e EBIT, €m
Compass	50,121	3,757	23%, 13% excluding tech sector	5%	*-0.7%*	-326	-24
Sodexo	25,145	1,128	18%	5%	*-0.9%*	-226	-10
Elior	6,702	236	10%	5%	*-0.5%*	-34	-1

Source: Bernstein analysis and estimates, *White collar

EXHIBIT 27: **Base case: 10% of white collar jobs are suppressed and no additional jobs are created**

Company	FY28e Revenue, €m	FY28e EBIT, €m	% WC B&I in revenue	% WC jobs suppressed	*Lost business implied %*	Effect on FY28e Revenue, €m	Effect on FY28e EBIT, €m
Compass	50,121	3,757	23%, 13% excluding tech sector	10%	*-1.3%*	-652	-49
Sodexo	25,145	1,128	18%	10%	*-1.8%*	-453	-20
Elior	6,702	236	10%	10%	*-1.0%*	-67	-2

Source: Bernstein analysis and estimates

EXHIBIT 28: **Bear case: 20% of white collar jobs are suppressed and no additional jobs are created**

Company	FY28e Revenue, €m	FY28e EBIT, €m	% WC B&I in revenue	% WC jobs suppressed	*Lost business implied %*	Effect on FY28e Revenue, €m	Effect on FY28e EBIT, €m
Compass	50,121	3,757	23%, 13% excluding tech sector	20%	*-2.6%*	-1,303	-98
Sodexo	25,145	1,128	18%	20%	*-3.6%*	-905	-41
Elior	6,702	236	10%	20%	*-2.0%*	-134	-5

Source: Bernstein analysis and estimates

CATERING AI ADOPTER

Industry gains in efficiency could offset deterioration in demand over the short term.

AI could reshape the employment market. Routine, automatable tasks could be increasingly taken over by AI, while demand could grow for workers able to deploy and manage these technologies. In our view, this transition implies an initial deterioration in labor-market conditions, potentially weighing on caterers, before a shift in the medium to long term to dynamics similar to those seen in previous major waves of productivity gains (electrification, IT, the internet), i.e. a net increase in employment. **B&I-exposed catering firms could thus face modest top-line headwinds at first, before benefiting from subsequent expansion in the workforce as the employment structure adjusts.**

Furthermore, **AI represents a material operational opportunity for caterers which could partially offset eventual demand headwinds**. AI-powered tools can lead to tangible improvements in operating performance and efficiency, from procurement and production to front-of-house and back-office processes.

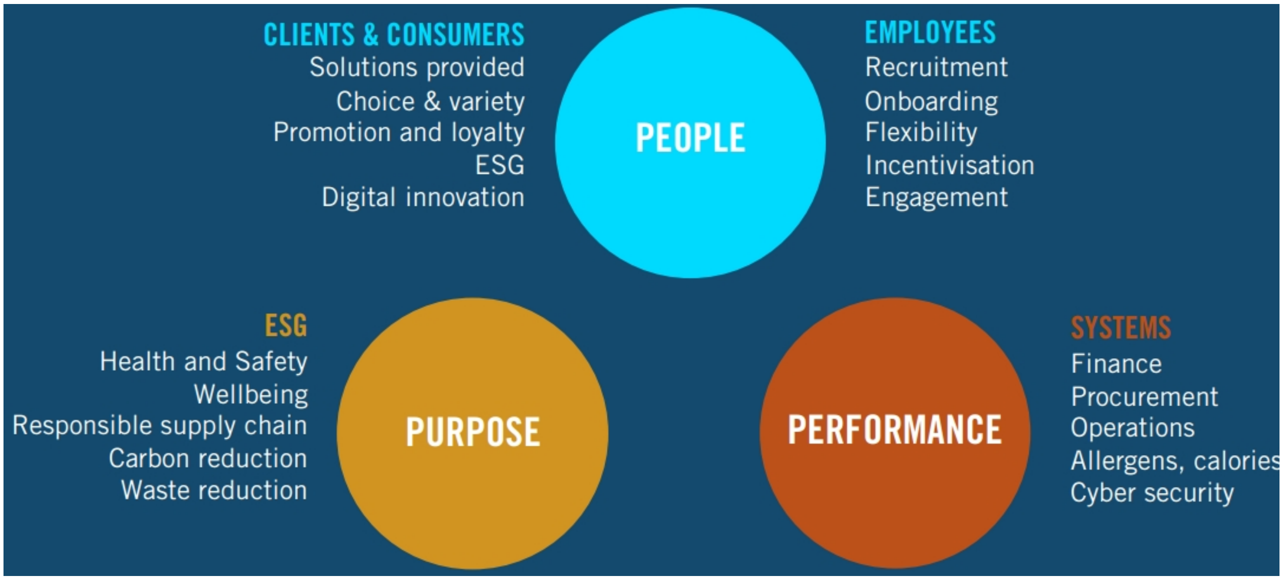
The catering industry is particularly well positioned to capture substantial AI-driven gains, as multiple high-impact applications are already designed or in development. According to Deloitte's study on AI in restaurants, generative and agentic AI can materially assist companies across core operations in the following ways.:

- **Real-time inventory tracking:** AI can help restaurants forecast inventory and demand, stock equipment and supplies, and cut unnecessary costs by reducing waste
- **Sales forecasting:** With AI-powered predictive analytics, restaurants can quickly analyze large volumes of data to identify guest traffic patterns, detect sales trends, and make more accurate sales forecasts. AI can also be used to improve the customer proposition to optimize product mix and pricing: for example, AI can suggest an offer tailored to a BTS concert – a Korean K-pop group – rather than a Los Angeles Dodgers baseball match.
- **Recruiting and onboarding:** for example in the US Compass has already streamlined the hiring process and reduced the number of recruiters.
- **Labor scheduling and deployment:** Many restaurants use AI tools to simplify and enhance scheduling, resulting in more efficient labor utilization and improving their employees' experience.

- Checkout-free / frictionless retail formats. For example, Compass has launched services such as the "checkout-free store" and "grab-and-go market" through technology called "Just Walk Out".
- There are also many other examples in the fields of procurement, accounting, and tender offers.

Several start-ups and early-stage ventures are also addressing the subject of AI in restaurants and canteens. Kikleo, a French start-up, has raised €2.5m to develop an AI-driven solution that can detect waste, optimize stock levels, and provide helpful data to enable operators to better tailor their offerings and achieve substantial cost-savings.

EXHIBIT 29: **Deployment of digital in the catering sector - Compass example**



Source: Compass, Bernstein analysis

EXHIBIT 30: **Compass digital development on the consumer side**

EXHIBIT 31: **Compass example of frictionless retail with "Just Walk out"**

Source: Compass, Bernstein estimates

EXHIBIT 32: **Food Hive is Sodexo's rapid and cashless payment convenience experience with a community focus**

Source: Sodexo, Bernstein analysis

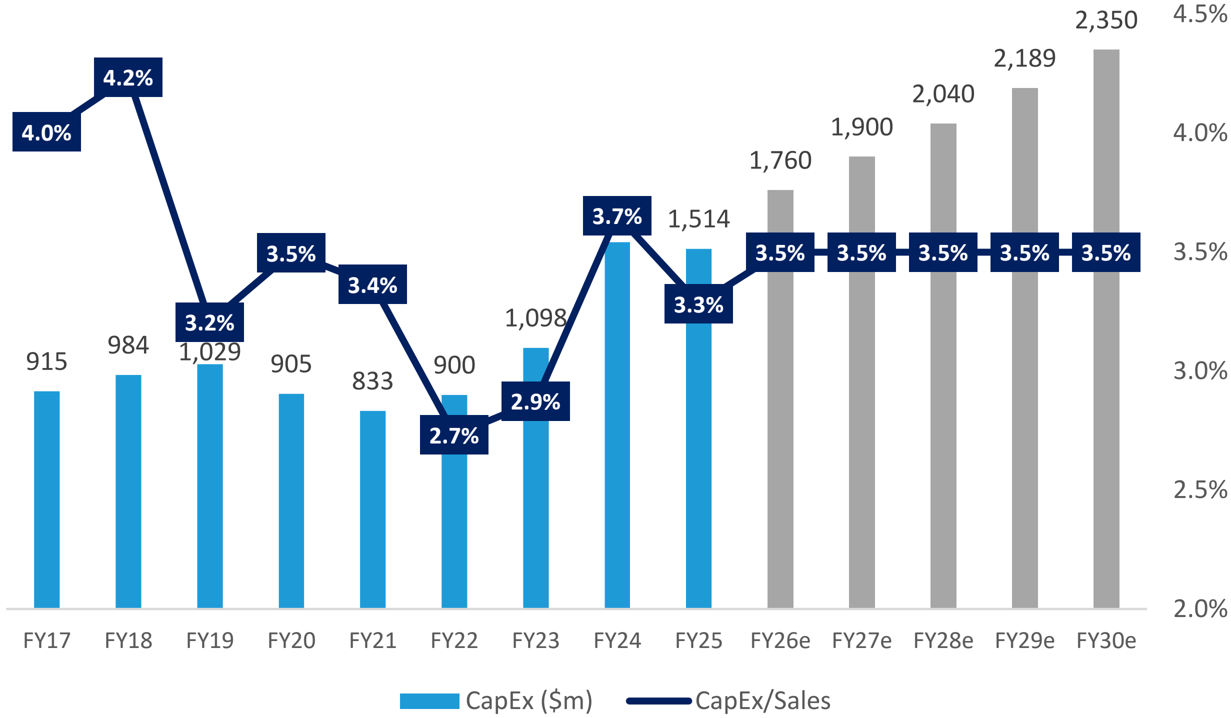
Catering companies didn't wait for ChatGPT to invest in data

Although the pace of AI adoption has accelerated recently, the companies under our coverage had already been implementing various strategies to integrate a digital and data-driven approach into their day-to-day operations. They had also been integrating AI into their business models. The capex trends at catering companies point to sustained IT investment, reflecting the ongoing transformation of operational capabilities aimed at efficiency gains supported by AI and IT infrastructure.

Compass has been developing a digital approach for over a decade, implementing this in its in-house capabilities via multiple tools and proprietary solutions. The group had 1,350 digital and technology members in 2022, and allocates c.25% of its capex to IT & Digital — with this percentage set to increase. Compass has, for example, estimated that automating day-to-day operations delivers tangible productivity gains, saving 10-20 hours depending on the role per month — equivalent to a cumulative 300-460 hours per month across a function or c. $160,000 p.a.

Sabrina Blanc +33 1 42 13 47 32 sabrina.blanc@bernsteinsg.com

EXHIBIT 33: **Compass - CapEx FY17 - FY30e**



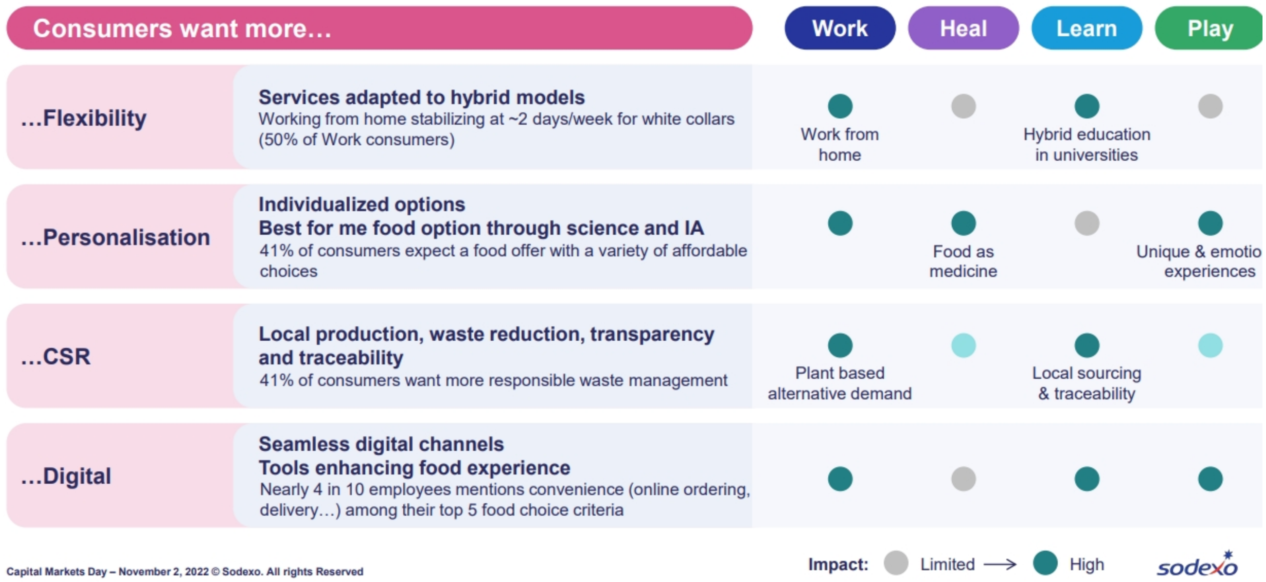
Source: Compass Group, Bernstein analysis and estimates

Sodexo prioritizes client personalization. In a November 2025 press release, Sodexo's Chief Tech Officer Alice Guéhennec underscored the role of AI in further developing the group's operational performance, highlighting the following.

- The use of agentic AI to ensure better personalization of the end-customer experience. AI can help the end-customer to find exactly what he/she wants among large list of choices. Interestingly, Sodexo's AI approach seems to focus, first and foremost, on accompanying employees in their purchase decisions.
- Consequently, AI can also help Sodexo take decisions in terms of menus and supply requirements by considering customer preferences. Alice Guéhennec explained that the final objective is full-scale prediction of culinary preferences through a variety of different data.

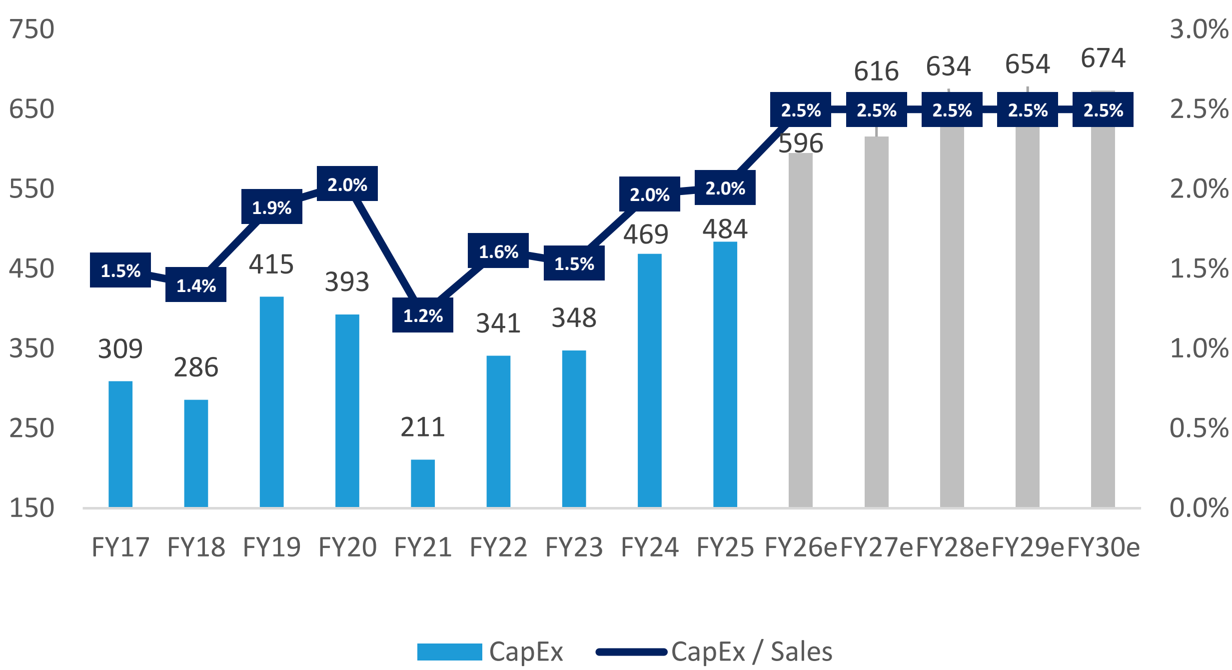
In its 2022 CMD, Sodexo highlighted the importance of digital-channel tools for most of its clients. We note, nevertheless, that while management did flag with the FY25 release that Sodexo intends to accelerate opex and capex, so far the group has invested significantly less than Compass.

EXHIBIT 34: **Consumer behaviors are changing fast - Sodexo**



Source: Sodexo, Bernstein analysis

EXHIBIT 35: **Sodexo - CapEx FY17 - FY30e**



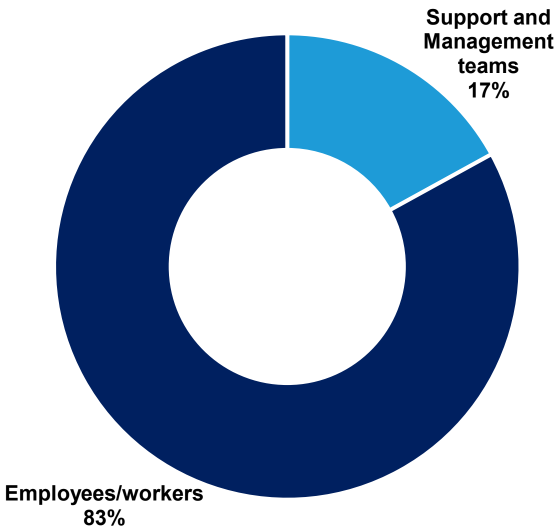
Source: Sodexo, Bernstein analysis and estimates

Elior partners with IBM for IT and AI scale and capacity. On 10 July 2025, Elior announced an collaboration with IBM to establish an "Agentic AI & Data Factory" aimed at accelerating Elior's AI transformation across its business units. Elior presented this new partnership as way of improving operating efficiency within the group's various business units and of developing the ability to bring personalized and innovative value to customers.

BUSINESS SERVICES SECTOR NOT AFFECTED

We also cover a number of stocks, namely Elis, Bunzl, Sunbelt or Rentokil, where there is high a degree of physical action to the revenues and unless we are to consider robotics + AI, then risks of disruption appear much more long-dated.

EXHIBIT 36: **Elis - Breakdown of permanent workforce by socio-professional categories - FY25**



Source: Elis, Bernstein analysis

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RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

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The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
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- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 500 Banks And Financial Services Index (BEBANKS) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 500 Insurance Index (BEINSUR) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

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- Neutral (N): Stock will perform in line with the market index to within +/-10 pp
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Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as ‘Feature’ (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

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The Autonomous brand has three categories of preferred stock ratings:

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Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	36.3%	17.8%
Underperform	SELL	12.6%	14.9%

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